

Blue Cube (Malta) Order Execution Policy

This document provides a summary of Blue Cube (Malta) Limited's order execution policy for the purposes of Article 78 of MiCA.

1. Glossary

- 1.1. Terms used in this Order Execution Policy and Pricing Methodology Description shall have the following meaning:

Company	Blue Cube (Malta) Limited.
Execution Factors	the price, costs, speed, likelihood of execution and settlement, size, nature of the order, conditions of custody of crypto-asset, or any other consideration relevant to the execution of a crypto-asset
Policy	this Order Execution Policy and Pricing Methodology Description
Total Consideration	the price of the crypto-asset and the costs related to execution, which must include all expenses incurred by the customer which are directly related to the execution of the order, including any fees paid to third parties (e.g., liquidity providers) involved in the execution of the order

- 1.2. Other terms used in this Policy shall have the same meanings as established in the Description of Organisational Structure and Management System, unless stated otherwise.

2. Introduction & Background

- 2.1. This Policy sets out the best execution and customer order handling arrangements that have been established to enable the Company to comply with the applicable best execution provisions. Best execution is the requirement for firms providing crypto-asset services to obtain the best possible result for their customers when executing customer orders.
- 2.2. The Policy sets out the circumstances under which the Company will seek to deliver best execution, and the considerations which it will apply in delivering it in practice.
- 2.3. The Policy additionally describes the Company's methodology for pricing crypto-assets to be made available to customers, in cases where the customers' orders for crypto-assets are to be executed against the Company's proprietary capital.

3. Legal Framework

- 3.1. This Policy is prepared in line with the regulatory obligations of the Company established in:
- 3.1.1. the Markets in Crypto-Asset Act (Chapter 647, Laws of Malta) and subsidiary legislation issued thereunder;
 - 3.1.2. Regulation (EU) 2023/1114 of the European Parliament and of the Council of 31 May 2023 on markets in crypto-assets, and amending Regulations (EU) No 1093/2010 and (EU) No 1095/2010 and Directives 2013/36/EU and (EU) 2019/1937 (the **MiCA**);
 - 3.1.3. the various other regulatory technical standards, implementing technical standards, guidelines, recommendations and opinions issued pursuant to the MiCA; and
 - 3.1.4. other applicable laws, regulations, rules and guidelines in relation to the Company.

4. Best Execution Requirement

- 4.1. The Company has an overriding duty to act honestly, fairly, and professionally in accordance with the best interests of the customers. The Company will always endeavour to act in this manner. In order to comply with the obligation, the Company must take all reasonable steps to obtain the best possible result for its customers taking into account the Execution Factors.
- 4.2. The relative importance of these factors must be determined by reference to the execution criteria and to the requirement to determine the best possible result in terms of the total consideration, representing the price of the crypto-asset and the costs related to execution, which must include all expenses incurred by the customer which are directly related to the execution of the order, including, where applicable, any fees paid to third parties (e.g., liquidity providers) involved in the execution of the order ("**Total Consideration**"). The Company also considers implicit costs, such as spreads and slippage.
- 4.3. Except in cases where the customer has specified in all respects how the customer wishes their order to be executed, the Company will apply the considerations set out in the Policy as appears to be in the best interests of the customer under the circumstances prevailing at the time. The processes set out herein are designed to ensure that the Company delivers best execution for its customers when required on a general and consistent basis. However, whilst every attempt will be made to achieve best execution for customers when required, this does not mean that the Company can guarantee the best price will be achieved for every single customer order, but rather the best price that can reasonably be expected given the information available during the execution process.
- 4.4. Before the customer is onboarded by the Company, the customer shall be familiarized with this Policy.
- 4.5. The Company must obtain the customer's prior written consent on the terms of this Policy during customers onboarding process by asking the customer to accept the Policy in the Company's app or website or digitally sign the consent on the Policy.
- 4.6. In the event the Company changes this Policy, the Company introduces a new version of this Policy to the customers in the Company's website or app and does not allow the customer to place new orders until the customer gives consent to a new version of the Policy.
- 4.7. In the event that a customer has questions concerning the content, application and/or review of this Policy, whether generally or in a specific instance, they should contact the Company's Client Success Team who shall answer to the customer clearly and within a reasonable time.
- 4.8. This Policy is made available to customers and the public on the Company's website at <https://www.blockchain.com/en/legal/terms/>

5. Scope of the Policy

- 5.1. Scope of the Company's services:

5.1.1. This Policy applies where the Company provides the following services:

Crypto-asset service under MiCA	Description
Execution of orders for crypto-assets on behalf of customers	Conclusion of agreements, on behalf of clients, to purchase or sell one or more crypto-assets or the subscription on behalf of clients for one or more crypto-assets.
Exchange of crypto-assets for funds	Conclusion of purchase or sale contracts concerning crypto-assets with customers for funds by using the Company's proprietary capital.

Crypto-asset service under MiCA	Description
Exchange of crypto-assets for other crypto-assets	Conclusion of purchase or sale contracts concerning crypto-assets with customers for other crypto-assets by using the Company's proprietary capital.

5.2. Scope of the crypto-assets:

5.2.1. The Policy applies with respect to the crypto assets whose purchase/sale is supported by the Company. The Company currently supports buying and selling of 50+ crypto assets, which are publicly disclosed on the Company's website and app, as well as provided in Appendix A to this Policy.

6. Best Execution Framework

6.1. The Company executes customer orders only outside a trading platform, i.e. all customer orders are executed against the Company's proprietary capital, with the Company acting as the counterparty to the customer's transaction.

6.2. The abovementioned method of order execution is known as 'execution outside a trading platform' and it may expose customers to heightened market risks, including liquidity risk, volatility risk, and increased slippage risk. EACH CUSTOMER IS REQUIRED TO CONSENT TO THE EXECUTION OF THEIR ORDERS OUTSIDE A TRADING PLATFORM, WHEN ACCEPTING THE TERMS AND CONDITIONS OF USE OF THE COMPANY'S CRYPTO-ASSET SERVICES.

6.3. When executing the orders for crypto assets for and on behalf of customers, and/or when exchanging the crypto-assets for funds or other crypto-assets, the Company will take all sufficient steps on a consistent basis to obtain the best possible result by taking into account the following Execution Factors, including but not limited to:

6.3.1. price: the price at which a crypto-asset is bought or sold is a paramount consideration. The Company strives to secure the most favorable pricing for its customers;

6.3.2. costs: cost-effectiveness is another key pillar of the Company's approach. This encompasses various fees and charges that may be charged in relation to order execution, and the Company is dedicated to keeping these costs as low as possible, thereby enhancing the overall value proposition for its customers;

6.3.3. speed: meaning the time taken to execute an order and/or complete the exchange of crypto-assets for funds or other crypto-assets. In the fast-paced and volatile world of crypto-assets, speed is often of the essence. The Company recognizes the importance of the speed with which prices are refreshed and orders executed, reducing exposure to market volatility and ensuring price fairness and efficient trade execution. The speed with which orders are executed is also essential in order to control the slippage effect between the price at which an order is executed and the price at which the order was placed;

6.3.4. likelihood of execution;

6.3.5. likelihood of settlement: the likelihood of settlement is deemed by the Company to be close to certain;

6.3.6. order size: meaning the size of the order placed by the customer;

6.3.7. nature of the crypto asset; and

- 6.3.8. any other relevant consideration: including conditions of custody of the crypto-asset, risks to the Company arising from execution and similar.
- 6.4. In order to determine the relative importance of each of the Execution Factors, the Company will also take into account the characteristics of:
 - 6.4.1. the customer (in this regard, it should be noted that the Company provides services only to natural persons (consumers) – therefore, there are no exceptions on how the Company applies the best execution parameters which would depend on the customer type);
 - 6.4.2. the type of customer's order (including size);
 - 6.4.3. the crypto-asset that is the subject of that customer order;
 - 6.4.4. the liquidity provider(s) to which that order can (directly or indirectly) be directed;
 - 6.4.5. any other criteria that the Company considers relevant.
- 6.5. As a general principle across all products, the Company will use its commercial judgement and experience on the basis of available market information to take all sufficient steps to obtain the best possible result for the customers (i.e. provide best execution). Subject to the overriding prioritisation of Total Consideration for customers, the Company will look to achieve the best balance across a range of sometimes competing Execution Factors.
- 6.6. In the majority of cases, price will merit a high relative importance over other factors in determining whether the Company has obtained best execution, as the Company assumes that the customer's primary wish is to achieve the best price. It should be noted, however, that best execution is broader than the 'best price' as this may not offer the best result for a customer if it is associated with, for instance, higher direct or indirect costs (e.g. cost of market impact, exchange fees or other commissions) or relates to the need to direct such order to a liquidity provider with less liquidity or inadequate technology or product features.
- 6.7. Additionally, by virtue of the Company's product offering, its self-directed service and the size of the average order, the Company does not expect that 'care order' treatment (i.e. manage the execution manually due to its size/low liquidity) will be required.
- 6.8. Specific customer instructions in relation to an order or any part of that order, including selecting to execute on a particular execution venue / or specific instructions in respect of the price, will take priority over the Policy and will not be subject to the set out Policy, thus it may prevent the Company from taking the steps that it has designed and implemented in this Policy to obtain the best possible result for the execution of those orders in respect of the elements covered by the customer's instruction. The customer by giving their consent to the Policy confirms their awareness and consent with this clause.
- 6.9. It will be considered that the Company satisfies its obligation to take all sufficient steps to obtain the best possible result for a customer to the extent that it executes an order or a specific aspect of an order following specific instructions from the customer relating to the order or the specific aspect of the order.
- 6.10. Unless otherwise agreed, the Company may split any order into one or more transactions to be executed separately, in series or in parallel, possibly on different venues. In such case, best execution requirements will apply equally to each such execution, as well as to the overall transaction.

7. Customer Order Handling

- 7.1. The Company operates 365 days a year, with a scheduled uptime of 95% of the time during any calendar month, excluding maintenance windows, providing continuous services, including weekends and bank holidays. Its business days span from 0 am UTC to 11:59 pm UTC the following day. This continuous availability ensures that the Company can execute orders across different time zones.
- 7.2. Upon receiving of an order from a customer, the Company will:
 - 7.2.1. ensure that the order executed on behalf of the customer is promptly and accurately recorded and allocated;
 - 7.2.2. ensure that the order is executed in accordance with the customer's instructions;
 - 7.2.3. execute similar customer orders consistently and without delay, unless the order details, market conditions, or customer interests make this impractical;
 - 7.2.4. inform the customer about any material difficulty relevant to the proper carrying out of their order promptly upon becoming aware of the difficulty.
- 7.3. Where the Company is responsible for overseeing or arranging the settlement of an executed order of the customer, the Company shall take all reasonable steps to ensure that any customer's crypto-assets or funds received in settlement of that executed order are promptly and correctly delivered to the account/ wallet of the appropriate customer.
- 7.4. The Company shall not misuse information relating to pending customer orders, and shall take all reasonable steps to prevent the misuse of such information by any of its relevant persons. For this purpose, the Company shall approve Market Abuse Policy, which shall also cover personal transactions and shall be applicable to all Employees of the Company.
- 7.5. The Company will not carry out a customer order in aggregation with other customer order, unless the following conditions are met:
 - 7.5.1. it is unlikely that the aggregation of orders and transactions will work overall to the disadvantage of any customer whose order is to be aggregated;
 - 7.5.2. it is disclosed to each customer whose order is to be aggregated that the effect of aggregation may work to its disadvantage in relation to a particular order;
 - 7.5.3. aggregated orders and transactions are fairly allocated, including with respect to the volume and price of orders and the treatment of partial executions.
- 7.6. The Company will not carry out one or more customer order(s) in aggregation with an order for the Company's own account, unless the following conditions are met:
 - 7.6.1. the Company shall refrain from allocating the corresponding transactions in a way that is detrimental to any customer;
 - 7.6.2. where the aggregated order is partially executed, the Company shall allocate the corresponding transactions in priority to the customer(s) and not to the Company. However, if the Company is able to reasonably demonstrate that, without such aggregation of orders, it would not have been able to execute the order or to execute the order on such advantageous terms, it may allocate the transaction on its own account proportionately, in accordance with this Policy.

8. Pricing & Fee methodology description

- 8.1. When a customer's order is to be executed against the Company's proprietary capital, either for another crypto-asset or fiat funds (or vice versa), the Company must generate the price at

which it is willing to purchase/ sell that crypto-asset. To do so, the Company uses its brokerage quote service software to sweep data from the wider market to provide the Company best possible result price for customers.

- 8.2. The Company utilises quotes which specify the crypto-asset, the amount of time the quote must be valid (in seconds), and a price refresh cadence.
- 8.3. To build a brokerage quote price for a given crypto-asset, the Company's brokerage software sweeps order book API data from multiple external exchanges. This builds an aggregated price for the crypto-asset in question, to which the brokerage software applies spreads. The resulting aggregate price index, inclusive of spreads, is presented to customers as a firm quote at which they may transact. The Company undertakes this process each time a customer requests to buy / sell a crypto-asset. The quote refreshes typically every 100 seconds.
- 8.4. The Company charges fees in connection with each buy, sell, and swap transaction. The fee comprises the following, and may vary based upon a customer's desired order size:
- 8.4.1. a Platform Processing Fee, designed to cover the costs associated with providing the necessary infrastructure, such as technology systems, security measures, liquidity execution, and operational support, all of which are essential for enabling and securely processing transactions on the platform;
- 8.4.2. a Card Processing Fee, charged only when a customer utilises a payment card for purchases (subject to their bank or credit institution's fraud and risk approval of such transactions), designed to cover costs associated with payment card purchases which are processed by third-parties. For clarity, this fee represents the amount passed to third-party processors; and
- 8.4.3. a Margin Fee (or "Spread"), which is the difference between the wholesale price at which the Company purchases its crypto-asset portfolio and the price at which it sells crypto-assets to individual customers. The spread is included in the quote price so customers can see the total cost of crypto-assets, prior to making a purchase.

Order Size (EUR)	Platform Processing Fee	Card Processing Fee	Buy Spread (Non-EMT)	Sell or Swap Spread (Non-EMT)	Buy/Sell/Swap Spread (EMT)
<25	0.49 USD/GBP/EUR	2.00%	1.50%	3.00%	0%
25 - 150	0.99 USD/GBP/EUR	2.00%	1.50%	3.00%	0%
150 - 20,000	1.49%	2.00%	1.50%	3.00%	0%
>20,000	0.99%	2.00%	1.50%	3.00%	0%

9. Selection Of Liquidity Providers for Crypto-Assets

- 9.1. In order to ensure that the Company is able to execute customer orders for crypto-assets against the Company's proprietary capital, with the Company acting as the counterparty to the customer's transaction, the Company will purchase crypto-assets on its own book.
- 9.2. The Company may select different liquidity providers according to circumstances. In making the selection, the Company's staff will exercise their discretion in selecting which liquidity

provider(s) will be part of the Company's program and might decide to terminate the participation of a liquidity provider or add new liquidity providers at any time. The overarching objective is to produce the best result for the customers pursuant to this Policy. The Company's staff will look at the following factors, including but not limited to

- 9.2.1. technical capabilities;
- 9.2.2. past performance;
- 9.2.3. crypto-asset coverage;
- 9.2.4. settlement processes;
- 9.2.5. credit risk;
- 9.2.6. execution venues being used;
- 9.2.7. passing the Company's due diligence process

9.3. Initially, the Company intends to utilise an affiliated (sister) entity as a liquidity provider. Using a Group company to access to the selected major and most reliable liquidity providers would allow the Company to execute orders for crypto-assets in a manner that allows the Company to comply with its best execution obligations. Namely:

- **Best Pricing:** The Group is able to avail itself of volume-based, preferential pricing tiers on external liquidity venues. This enables the Group to sell crypto-assets at a preferential rate due to economies of scale, allowing the Company to quote and execute at the best possible price to customers. If the Company was to obtain liquidity on the same external venues in isolation, it is less likely that the Company could obtain similarly preferential terms, thus, the Company's customers would end up purchasing the same crypto-assets for higher prices;
- **Multiple Venue Access:** The liquidity model selected by the Company is a positive differentiator from competitors, many of whom are primarily exchanges which provide brokerage liquidity for retail users exclusively from their own order books. In contrast, the Company accesses multiple sources of liquidity, including from reputable centralised exchanges, whilst being insulated from trading risk, liquidity risk, and counterparty exposure. In this way, the Company operates more closely to the model of a traditional equities broker, seeking to obtain the best market price for clients. This materially reduces the risk that the Company's customers are unable to buy, sell or exchange crypto-assets due to an issue impacting a single external execution venue used by the Group;
- **Existing Infrastructure:** Using this model ensures that costs for the Company's customers for crypto-assets are kept low due to infrastructure in place between the Company and the Group. Moreover, this existing infrastructure and associated economies of scale stand to benefit the Company's customers;
- **Technological Capabilities:** The Group has the requisite technological capabilities, the ability to develop future product and service features that improve the quality of services offered to the Company's customers and the capacity to handle the order types that the Company offers to its customers.

10. Placing and Execution of the Customer's Order

- 10.1. The customer can place orders via the Company's website or app.
- 10.2. The Company registers all customer orders it receives. Orders placed via the website and app are automatically recorded in the Company's books and records, which comply with legal

requirements for a durable medium. The system captures the following data in chronological order for customer orders placed via the website or app:

- 10.2.1. date and exact time of the order;
 - 10.2.2. customer identification data;
 - 10.2.3. crypto-assets identification data in relation to placed order;
 - 10.2.4. order instruction (buy, sell, price, etc.).
- 10.3. The customer can cancel orders on the website or app by hitting the 'cancel' button next to the respective order. The 'cancel' button will only be available until the Company executes order either against the Company's own proprietary capital or against the proprietary capital of a selected liquidity provider. Generally, orders are routed/executed immediately after being placed on the website/ app, making the cancellation option very limited in time. In addition, cancellation is not possible on the part of an order that has been already executed in case of a partially executed order. Once the customer's cancellation request is accepted, the order will be deemed not placed, and confirmation of the cancellation will be provided on the website/ app.
- 10.4. Placed orders that are not executed cannot be edited except by canceling the order and placing a new one.
- 10.5. The customer's order will be executed for execution immediately, except for cases where the Company refuses to do so in accordance with its terms and conditions for the provision of services to customers. The orders will be executed in a sequence of their receipt and exactly in the content as placed by the customer.
- 10.6. Once the customer's order is executed, the Company will inform the customer promptly on the website/ app. The customer shall have access to all confirmations within the website/ app.
- 10.7. The customer should be aware of below risks in relation to execution of orders for crypto-assets:
- 10.7.1. **Slippage** – the risk of a difference that might appear between the expected price of a trade when the order is submitted and the price at which the trade is executed;
 - 10.7.2. **Liquidity** – the risk that there may not be sufficient market liquidity to execute an order at the desired price, resulting in partial execution or no execution of the order;
 - 10.7.3. **Gapping** – the risk of significant price movements occurring between the time the order is placed and executed, especially during periods of market illiquidity or high volatility.